sanctions, as each has been targeted by them at various times. There are echoes of Albert Hirschman, who warned that "the power to interrupt commercial or financial relations with any country . . . is the root cause of the influence or power position which a country acquires in other countries,"[36] in some of the speeches of BRICS leaders (see Chapter 3). Likewise, BRICS governments strongly object to conditionality for IMF programs that goes beyond economic fundamentals into normative and political requirements. Further, the BRICS have accumulated large foreign reserves at significant cost in order to give themselves some buffer against both financial coercion and the perils of hot money in globalized markets.

This book explores two cases of common aversions that helped motivate the BRICS to stay together. As discussed in Chapter 3, a common aversion to the use of economic sanctions helps explain the BRICS' convergence around Russia in 2014, despite discomfort with Moscow's actions in Ukraine. To the BRICS and other targets of sanctions, the motivation is not merely or even principally resentment over the high-handed assertions of international justice, where the United States assumes the role of judge and jury. Of greater concern are the exorbitant privileges the United States reaps from being the world's financial hegemon, willing and able to engage in coercive financial statecraft to cut off lesser financial actors who need access to both U.S. capital markets and dollars to make international transactions. Countries may avoid some types of political exploitation by the United States in such "hold up problems" by joining international institutions with legal protections, such as the WTO,[37] but they cannot easily escape from using the dollar and U.S. financial markets.[38] Similarly objectionable is the double standard with which the United States and other G7 countries through the IMF seek to regulate the financial and economic policies of emerging economies while protecting standards or creating exemptions beneficial to themselves.[39]

These common aversions against U.S. self-interested behavior have encouraged stepped-up consultations and actions among the BRICS for diversifying away from the dollar and U.S. capital markets, including increasing the role of the RMB as an international reserve currency and collective efforts to shift more to trade in local currencies. Obviously, the fact that avoidance of the dollar can be costly demonstrates that coordination to avoid a common aversion does not necessarily specify a